across different asset classes provides an appropriate balance between short-term volatility and long-term growth potential, making asset allocation the primary driver of a portfolio's performance over time.

Diversification is another aspect that is often used alternately with asset allocation; they are not the same. One can understand it with the Bread, Pasta, Noodles and Pastries Cereals example. While, they all are very different; they are all made out of wheat. Diversification is similar; while equity is an asset class – small-cap, mid-cap, large-cap etc are investment options within equities. Likewise, debt is an asset class under which G-Sec, corporate debt, bond etc fall. So, if asset allocation is the first step to investing, which helps you divide your investments into different asset types, diversification is the second most important step in helping you choose different options within asset classes.

Asset Allocation And Mutual Funds

When it comes to asset allocation and diversification; mutual funds are one of the finest available financial instruments for the natural asset allocation and diversification they offer based on the stated investment objective of each fund. For instance, an equity-oriented large-cap fund, invests at least 80% of its assets in equity and equity-instruments of large cap companies. The balance generally goes into debt and other money market instruments. Within the 80% large cap companies, fund managers follow diversification across different sectors of the economy and type of businesses.

How one chooses an asset allocation that is suitable to their goals depends on multiple factors. The investor's age, risk profile, life events, investment time horizon, income tax benefits, etc are some of the factors that influence asset allocation (See: Factors Affecting Asset Allocation Decision). But, the factor that is most important to investors, which may also be the single largest factor to consider for asset allocation, is the risk tolerance.

Other factors like age, desired returns and the financial goals are also high priority, but risk plays an important part when zeroing on a suitable asset allocation. It is important to evaluate one's risk tolerance in determining asset allocation, as each asset class comes with its own risk/reward; there are also levels of risk within each asset class. For example, within equities; small cap is riskier than large cap.

Your risk tolerance has a relationship with the type of asset and time frame to invest. Typically the greater the risk is with an asset; the greater it's potential for a reward or more significant return. But high-risk investments aren't necessarily going to always earn higher returns. There is the risk that you could lose your investment entirely. The aim of asset allocation and diversification is to

Types of Asset Classes



Cash: The simplest and easiest asset type is cash and it is less risky, but it doesn't add any value to your money's worth when left idle. In fact, cash in the wallet, only goes down in value, in times of high inflation.



Debt: Think of this asset class in the same way as a loan. When an investor purchases a debt instrument such as a bond, they essentially provide a loan to a borrower for an agreed-upon period of time. The borrower repays the loan with interest and the interest received is the return in this asset class. There are many types of debt instruments that are more popularly known as bonds. Bonds could be issued by government or corporate entities and are known as government bond and corporate bonds. Bonds are usually fixed income instruments for the reason that the return you receive is known.



Equities: These are shares issued by companies which could be private or public. As a shareholder in a listed company you may be rewarded in two ways – by way of dividends, which is a share of the profits the company makes or by capital gains when the share price goes up. Share prices are determined by supply and demand – more buyers than sellers then prices rise and vice versa. Share prices can be volatile and can react to things outside the company's control.



Real Estate: If you own a house you already have a big exposure to property. Factor this in before considering an investment in this asset class. Houses (residential property) can perform quite differently to Offices, Retail (shops), Industrial and Logistics (warehouses) that are categorised as commercial property. Real estate can provide income and there is a chance of a capital gain.



Commodities: These are raw material such as gold, silver, wheat, oil and timber etc. People invest in commodities with the hope of making a capital gain.



Miscellaneous: These are alternate assets such as art, artefacts and collectibles among others that fall under the alternate asset class.